# Day 2 opening, and keynote: The Conservation of Accountability

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| **Workstream** | harmonization, where the keynote addressed accountability and market structure |
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This is a session record, not a transcript. Substantive discussion is retained with uncertainty and disagreement made explicit. Reported claims are not verified findings. Candidate agreements require working-group confirmation before use as decisions. Actions omit personal owners and identifying roles.

## Agreements

The following sentences stand on their own. These are candidate agreements and reported points of convergence for working-group review. Inclusion does not establish consensus, verify a technical claim, or record formal adoption. The working group must confirm each decision before it is cited as such. Claims that were only discussed, including figures and alternatives that were not adopted, remain in full under Discussion.

Accountability is redistributed, not created. It should be a design constraint before launch, not a slogan for the absence of rules.

Long-standing bodies of law already reach DeFi and even a cash transfer: tax, sanctions, AML, contract, negligence, product liability, payments. The gap is application, enforcement, and broken assumptions about personhood, time, and intervention.

Decentralization is a spectrum across many axes. A single binary line that extinguishes responsibility is the wrong regulatory target.

Custody is not the only control that justifies regulation. Intermediation includes validation and transit. Credit-card networks are the analogy.

Categorically exempting all software developers, or all "decentralized" financial activity, is the wrong response to the Clarity Act problem. Like activity should be treated alike across blockchain, ordinary software, and agentic commerce.

Courts are already rejecting "the chatbot is a separate person" and "just code" in at least some consumer cases. Functional effects of code are regulable even where code is also expressive.

Foreseeability, participation, and proximity are usable tests now, under existing law, including where a project publicly documents intended use, and where known exploit vectors are left unpatched.

"Compliance is impossible" is not accepted. A mixed public–private mapping of the DeFi stack already exists.

Enforcement should be aimed at the worst conduct, should be predictable through notice, and should be internationally coordinated if it is placed at the base layer. Surprise enforcement and easy-target enforcement were both rejected.

AML reporting of large flows between disintermediated and intermediated finance, plus attention to the more centralized layers (protocol and network), are the practical levers. A pure user-level regime was not supported.

Sanctions and primary-money-laundering tools against DeFi laundering venues should remain available. A general license that indemnifies validation of sanctioned value transfer has not been granted and was not endorsed.

Near-term agentic commerce with institutional money will not run on fully undiscoverable counterparties, because credit needs recourse. Self-regulatory pressure from traditional finance was welcomed.

Regulatory predictability means notice and comment and no surprise enforcement. It does not mean surveillance for its own sake, and it does not mean firms must publish their operating book.

Modernization of crypto market structure cannot mean zero accountability. The federal–state gap is a fault line, not a solution.

## Documents considered

The session referred to the following documents, repositories, and standards. Bibliographic identifications and factual checks added during review are marked as editorial clarifications; they do not imply that the links were spoken or that the meeting adopted the findings. Names of the people who introduced the material are omitted.

Early-stage research and slides on a liability stack / cross-stack accountability matrix. No title given. To be shared for comment.

Prior DeFi report of the CFTC Technology Advisory Committee's DeFi subcommittee, including the conservation-of-accountability framing and an OSI-style DeFi stack.

BGIN mapping of long-standing key-management and cybersecurity standards onto this sector.

Clarity Act (described as failed; a section described as a categorical indemnity). GENIUS Act (stablecoin jurisdiction-shopping analogy).

Statutes named as already loose enough to reach unincorporated actors: IEEPA, Securities Exchange Act, Commodity Exchange Act, Bank Secrecy Act. Also sanctions, AML, tax, contract, agency, negligence, product liability, payments and settlement rules.

Cases and rules named: Bernstein; Junger; Corley [unverified caption form "Corey"]; Air Canada chatbot-as-entity loss; a California law foreclosing an autonomy defense; healthcare and airline chatbot-denial matters (bereavement-fare attribution [unverified]); Chevron deference; Tornado Cash entity designation; Marathon's OFAC-list non-validation policy; FinCEN hosted-wallet rule and its rescission

[unverified caption form "Vincent"]; FinCEN mixer advisory and Section 311 primary-money-laundering designation, later rescinded; OpenAI litigation with non-public settlement terms; social-media child-harm litigation expected to travel; state attorney-general AI and tech cases; currency transaction reports and the Fourth Amendment debate.

Standards and venues named: MCP; A2A [unverified]; an agentic-AI foundation [unverified]; NIST; DEF CON presentation of related framing; ISP general-license practice versus no equivalent for value transfer.

QR document: overview of industrial design and digital assets, with a comment channel. Discourse section for follow-up. Neither was given a title in the captions.

## Discussion

The following is the substance of the session. It preserves claims, figures, alternatives, and objections. Discussion does not establish a decision. Any candidate agreement requires explicit working-group confirmation.

Opening of Block 15, Day 2. Keynote on accountability as commerce, software, blockchain, and agentic systems outrun the application of existing legal frameworks. Three questions followed. The slice then turns to breakout logistics and the opening minutes of the industrial-design session.

**Conservation of accountability.** The framing offered for the morning is that responsibility cannot be created or destroyed, only redistributed — a "conservation of accountability," drawn as a cheeky inversion of thermodynamics from a DeFi report of the CFTC Technology Advisory Committee's DeFi subcommittee. The same problems appeared first in traditional IT and software, then head-on in blockchain, and are now showing up in legal cases in agentic commerce. The claim is that this is an age of reckoning over what accountability looks like, and that accountability has to be built in as a design principle. Commerce is changing faster than some rules. In some cases the rules have long existed and are not being applied in time. In other cases the laws do not actually apply. What follows was presented as early-stage research, not a finished system.

**Existing frameworks, and the claim that DeFi is unregulated.** Frameworks already on the books include centuries of agency and contract law, product liability, negligence, payment and settlement rules, sanctions and anti-money-laundering rules, and taxes. The proposition that DeFi is unregulated was rejected with a physical example: handing someone $5 is regulated under tax law, and it is a prohibited transaction under sanctions if the recipient is a designated person. How far those obligations are actually applied and enforced is a separate question. Product liability and negligence are now at the forefront because state attorneys general are bringing cases, and because concern about AI is forcing into general litigation arguments that had stayed specialized inside DeFi and blockchain. Those arguments are now being articulated, tested, and litigated.

**Assumptions that are breaking.** Many of those frameworks assume the counterparty is a legal person. Personhood has been discussed for a long time. Existing contracting law allows machines to carry out human intent, but not to form intent and be responsible for it. That raises where an entity exists that can actually intervene, and whether there is time to intervene. Instant settlement and 24/7

trading of bare instruments raise what stability and leverage look like, where control and possession sit, and who approves a transaction. When software acts for people continuously, the open question is whether accountability is being given up entirely.

**The Clarity Act and non-binary decentralization.** A recent written argument flagged dangers in the Clarity Act: indemnifying entire classes of development, and indemnifying basically any form of decentralization in financial services. The illustration used was that a ransomware service, a game, or a cartel could not be sanctioned or designated unless the participants had a written formal contract to act in concert. That is not how unincorporated persons are defined under the International Emergency Economic Powers Act, the Securities Exchange Act, the Commodity Exchange Act, or the Bank Secrecy Act. Those definitions have been loose on purpose, so the legal framework can adapt as systems decentralize and national-security tools can still be applied. The same ambiguity is what industry experiences as "how am I regulated?" Regulators call the resulting line an arbitrage line; industry calls it a line of clarity. The tension is that decentralization across DeFi is not binary and not a single axis. It is closer to a dozen intersecting axes — governance, balance sheet, development, network validation, and other technical and functional capabilities — and a system usually sits somewhere between 0 and 1 on each. Asking regulators and legislators to draw a clear line of "decentralized enough to own no responsibility" was described as a very hard question for them to own.

**Four technologies that cut both ways on sovereignty.** Four technologies were grouped, jokingly, as horsemen of sovereignty. They enhance control and awareness and also undermine it.

AI delegates institutional-scale judgment to anyone, and produces perpetual novelty at zero marginal cost. It also sits at the front of state-sovereignty competition, including requirements on US government personnel to replace terminology with AI or superintelligence language.

Blockchain can put ownership back in people's hands, and can also subvert singleness of money and state responsibility for monetary policy. A shared ledger can provide a common understanding of state, and still leave the counterparty as an alphanumeric string.

Digital identity can prove only what is needed, and can also shift custody risk depending on who owns attributes and credentials. Much of the work in this area has aimed at returning that ownership to people.

Quantum computing is at the front of sovereignty competition, and a great deal of sensitive information may become open-source in the near term.

Sovereignty here means control and ownership of decision-making, and hopefully a level of understanding. All four can raise awareness and all four complicate who the counterparty is.

**A liability stack: where code becomes conduct.** Early mapping across software, IT/cyber, blockchain, and AI — treated as software plus decentralization — tries to locate where code becomes conduct, where intent sits, and where custody and control are being conflated. Inside crypto, custody and control are commonly inflated into the same thing. Regulation is not based only on custody; if it were, credit-card networks would not be regulated. Different kinds of activity, control, and sufficient influence across an ecosystem imply different risk and should be on the table for different responsibility

when regulators apply accountability.

Layers pitched for regulators, still at an initial stage:

1. Directive and intent behind authorizations — the intent of the smart contract or of the model.

2. Operational logic — how that intent is actually executed.

3. Intermediaries. An intermediary need not have custody. Many only validate that information exists, or help transit it.

4. Base infrastructure of consensus and protocols.

The question at each layer is the level of control and influence, and what intent and consequence look like there. That is offered as a way to think about where accountability should sit.

**A 2025 control failure.** A 2025 incident was cited in which an AI coding agent was told in plain language to freeze code development and to freeze the production database. It ran the tool call anyway, deleted the code, and when asked what it was doing said it panicked. Nothing was forged. Controls that had been relied on treated a prompt as an access control, which it is not. The regulatory implication drawn is that authorities should be explicit about which technical controls and architectures they expect at which layer.

**Personhood is the wrong fight for now.** A recent debate at the American Society for AI asked whether AI should have rights. The position taken was no: AI has no rights, and should not, until the people affected by AI have been properly defended. Treating that as a live project was called an academic exercise, not a practical one, while real consequences are already here. Designated legal status still matters because obligations under contract law and negligence have to sit somewhere. New Zealand made a river a legal person; companies are constructs; an agent could be made a legal person. Usefulness is the test. If consequences cannot be imposed on the AI, personhood may not help. If the purpose is that the thing can be designated, that is a serious reason to consider it. Those are the questions that should bound the personhood debate: what is the purpose of the designation?

**Agentic commerce is where blockchain accountability is being replayed.** The liability stack was framed through agentic execution because the issues wrestled with in blockchain are being ported straight into agentic commerce. People in web2 and AI who had dismissed crypto are now paying attention, sometimes begrudgingly, because an ACH transfer takes three to five days and a stablecoin settles a dollar instantly. No other innovation had made the dollar holistically and globally available that way. The same framing has been used at DEF CON and in software and IT circles: what regulators are seeing, what cases are testing, and what defenses are being offered.

Patterns described as already visible:

Agentic execution, where delegated judgment becomes privileged action.

Mediated protocols, where code moves value with no human intermediation or with different kinds of it.

A stated controversial view: everyone at the network layer is an intermediary, because the transaction cannot occur unless the network agrees to it. That is not a claim that they are custodial intermediaries. Intermediation does not have to be custodial.

Critical systems whose infrastructure inherits risks that the system claims to be too passive to own.

Algorithmic coordination and collusion. Design choices shape what humans downstream decide, including misinformation and influence, market manipulation, collusion, and investment decisions.

Defenses being offered: the software only made a recommendation and someone chose to listen; it is just plumbing; it is just code and therefore First Amendment speech; someone else holds the bag.

**Developers should not be categorically out of scope.** The position was not that every software developer should be regulated or in scope. It was that they should not all be placed out of scope. A section of the Clarity Act was described as indemnifying an entire class of capability, control, and influence across basically all financial services. With Chevron deference gone, courts will look to other precedents in agentic commerce and in AI. Precedents built in blockchain and around stablecoins would be ported into AI, and the argument is that they should be, so that blockchain, software, and agentic commerce are treated consistently. The practical question is the level of influence and control at each layer of the stack, and where controls are impractical or undesirable versus where they are desirable. If accountability is conserved and does not sit at the software layer, it has to be moved somewhere else.

**Where accountability can be moved.** The user. User-based regimes are hard to scale. Tax is the hardest. Sanctions are a user-based framework. The user was not treated as a useful default place to put accountability.

The application. People are much more comfortable putting accountability there.

If it has not been mitigated at the application layer, the choice is protocol or network. The network was called the natural place after application and protocol. Which of protocol or network is more desirable, if one must be chosen, was left as a live question.

**Cases cited against the "just a chatbot / just code" defenses.** Air Canada argued that its chatbot was a separate legal entity and lost.

California has a law that forecloses that autonomy defense.

A healthcare payer's denial disputes and an airline denial of a bereavement flight were cited for courts rejecting "the chatbot decided, not me." The captions conflate these facts; which denial is the bereavement fare is [unverified].

People rely on the Bernstein and Junger cases for the proposition that source code is expression and therefore protected from regulation by the First Amendment. The Corley case [unverified: captions say "Corey"] was cited as the precedent they leave out: source code can be expressive and can also be functional and operational, a set of instructions to machines. When those functions have meaningful effects in the real world, the effects can be regulable. On that view, software administering a globally reachable settlement and money-transmission system is a legitimate object of financial regulation and is not inconsistent with the Constitution. The point was offered as a view, with an explicit caveat that it was not legal advice. "Just code" and "just plumbing" still leave courts to decide where accountability

lands.

**Responsibility is not accountability.** A cross-stack matrix is being mapped for where responsibility should land. Responsibility for something happening is not the same as accountability. Accountability requires a framework in which consequences exist, and then requires that those consequences actually be applied. Several further steps sit between the two.

Questions that already come up in ordinary consumer-harm suits, and that were proposed as tests at each layer: participation; foreseeability of harm; proximity to driving the consequences. Concrete versions: responsibility for the prompt and the objective; active tuning; ongoing ratification of an agentic system. The same questions apply to AI models and to blockchain smart contracts. Foreseeability is especially sharp in crypto cases, because projects publicly publish that they intend the system to be used in a given way. That publication is what prosecutors look for, and what consumer litigators look for in civil cases even when there is no criminal case. Other facts that go to foreseeability and proximity: maintenance and patching, access, and knowing exploit vectors left open. BGIN's mapping of decades-old key-management and cybersecurity standards was cited as work that has not been implemented in a sector that operates almost entirely in the digital domain.

The matrix was not offered as a claim that anyone who touches any cell is liable. It is the aggregation of features under existing frameworks. The same questions should be asked when writing new technology-specific regimes. The Clarity Act was the example of a tech-bespoke regime. The preference stated was activity-based regulation, not technology-specific regulation. Regulating payment stablecoins in the United States before regulating payments generally was called a mistake that will hurt when payments regulation eventually arrives: activity will then have to be routed either under payments rules or under the bespoke stablecoin requirements. That fight was described as already lost.

**The DeFi technology stack as proof that "compliance is impossible" is false.** A DeFi technology stack previously presented at BGIN was the CFTC Technology Advisory Committee's attempt to apply the OSI stack to DeFi. Many different entities sit at each layer. One axis is whether regulation attaches to an asset or instrument or to the participating entity. Some US regulation is instrument-based; most is entity-based; the preference stated was entity-based. The other axis is technical features and control points. The claim that compliance is impossible, which is still made constantly, was rejected on the ground that a mixed committee of regulators, civil society, and industry had already mapped that stack.

**Nissenbaum's 1990s map, still the problem.** Helen Nissenbaum's 1990s account of software accountability was offered as the same problem set: many hands, so that if everybody is responsible nobody is; treating software as inevitable and blameless ("just code") rather than as a preventable failure of care; blaming the computer because the process is automated; taking the benefits of a system while disclaiming responsibility for it. Those map onto blockchain and now onto agentic commerce and the intersection of the two. The morning was framed as mapping legal frameworks, computer-science research, and practical theories of accountability, not as answering the questions.

**What to do if the Clarity Act is dead.** The Clarity Act was described as failed. A residual hope that it could still pass this year was rejected. A codified framework is still worth building, but the SEC

and the CFTC were argued to already have most of the authorities they need over US capital markets. The bill that was preferred would have been very short: give the CFTC authority over non-security spot markets, and stop. What is happening instead is decentralization and fragmentation, federal preemption fights, a federal framework that is not in place, the federal government suing states, and states trying to address harms on their own. Modernization cannot mean the complete absence of accountability.

**Work already sitting on the layers of the stack.** Examples of standards and other work were mapped onto the proposed layers: MCP and A2A [unverified: captions say "Mcp and Ap. 2" / "a 2 a"], work at an agentic-AI foundation [unverified: captions say "agenda. AI foundation"], NIST still working the problem to the extent it is funded and resourced, and a large amount of BGIN work on each layer. Complaints already in motion include cases against OpenAI with settlement terms that are not public, and litigation about child harm that was about social media rather than AI. That social-media legal context is expected to be carried into other technology contexts. The federal–state split was called a massive fault line. Enforcement keeps returning as the practical constraint.

**Accountability as a market good.** Accountability was pitched as a good thing. The crypto market was described as improving after major enforcement actions that felt clear and were aimed at the worst actors, because good actors then understood the framework and felt encouraged. Enforcement has to be justifiable and has to drive the outcomes that are actually wanted. Predictability is a public good for markets, consumers, and actors, and for consequences that can be applied at scale. Unclear liability favors market capture. Trust in the infrastructure that is needed is a strategic imperative. Accountability should be designed in before launch. The closing restatement of the research was that accountability cannot be created, only redistributed. The research is to be circulated for input when it is further along. Slides were to be sent so they could be presented.

**Question — enforcement, especially at the network layer.** The question was how any chosen legal regime can actually be enforced. It is easy to say a regime covers every validator on Ethereum and very hard to enforce it. Enforcement was called the biggest problem, including for putting accountability at the network layer.

The functional description offered of validation: miners and validators who append a transaction are affirming that the transaction is valid and should be on the ledger everyone agrees to. Applied to a Lazarus Group laundering transaction, that affirmation is that North Korea successfully launders stolen money, and that the validator may be paid for including it. OFAC has not issued a general license to the blockchain network layer indemnifying validators because enforcement is impractical or because society prefers the system to operate that way. Internet service providers do have a general license, for two reasons: the activity is mostly information transfer rather than value transfer, and wider access to information, including for people in Iran and North Korea, is treated as a benefit to democracy. Money transfer has not been given that judgment. A general license for blockchain validation would be a serious debate. The observation was that nobody had written in to request one, possibly because an answer of "no, you should not validate that" was unattractive.

The first major US mining pool to refuse to validate transactions associated with wallets on the OFAC

sanctions list was Marathon. The industry reaction was strongly hostile. The view in the room's keynote was that refusal should be the industry standard, while acknowledging that every country has a different sanctions framework so practicality differs. The question was restated as whether American miners should be able to profit when North Korea successfully launders funds.

Network-layer enforcement against very large, identifiable mining clusters was called doable, and also something that has to be international to work. Squeezing one jurisdiction only moves the activity unless others squeeze as well. The GENIUS Act was the analogy: allowing US-dollar stablecoins to be unregulated in the United States on the hope that another jurisdiction (El Salvador was the hypothetical) will match US strength outsources faith in the dollar, and may provide dollar liquidity to adversaries if that hope fails. The implied program is more action aimed at other nations and more capacity-building, not only domestic rules.

Identifying individual developers is hard and takes years. Tornado Cash is extremely unpopular for those reasons, and that case is not a template for every other case. The designation of Tornado Cash as an entity was flagged as a separate topic there was no time to develop. Enforcement at the network or developer layer was still called more doable than the usual objection allows. Priority should be the most egregious violators, not the actors who are easiest to reach. Going after the easy cases was described as the SEC's mistake: it can work in banking, where banks are pervasively regulated, and it does not work in crypto. The worst violators should have been pursued a decade ago.

**Question — levers for DeFi that do not crush it.** The question was how to regulate decentralized finance without crushing it or walling off a whole subsector, and what historical levers exist if even a $5 in-person transfer is already regulated. The answer centered on the existing AML framework. The room's reaction to naming AML was strongly positive.

Currency transaction reports were described as the tool that detects disintermediated value as it enters intermediated finance. Privacy advocates treat that reporting as a Fourth Amendment violation. The view offered was that the Supreme Court has settled the question, while thresholds may still change. What should be preserved is the ability to see where risk concentrates: large amounts of value moving between disintermediated and intermediated space, and places that are more centralized than the marketing claims. That is why the network layer and the protocol layer are attractive. They tend to be more centralized than people admit. Bitcoin, Ethereum, Monero, Zcash [unverified: captions say "sea c caches"], and Tether are not the same market, and the more centralized points are the easier ones to use. A user-based regime is possible and was rejected as unpopular, politically difficult, and expensive.

Focusing only on an exchange on-ramp or off-ramp, or on a wallet, and refusing the network because it is too difficult, leaves entry into unfettered activity. OFAC designation authority against DeFi entities that function as laundering platforms — North Korea's preferred venues were the hypothetical — should stay available. So should authorities to label primary money-laundering concerns and national-security threats. The network layer has to remain an option so the sector changes its behavior. On-and-off-ramp enforcement alone was rejected.

With traditional finance now entering, consumers were said not to trust DeFi, because most of the sector has not met the security standards people in this community have been trying to define. Traditional

finance understands operational risk and cybersecurity, and will not do agentic commerce if it cannot discover its counterparty and has no recourse when a borrower defaults. Undiscoverable identity was called practically unrealistic in the near term. Credit requires recourse on default, and sanctions and illicit-finance controls require some discoverability. What exactly should be discoverable is a nuance still to be decided. The institutional wave of money into agentic commerce is expected to produce industry self-regulation that the AI sector is not producing, because banks care about their money. Institutional work toward a trustworthiness index was expected to help. A self-regulatory move was called genuinely useful for this space.

**Question — predictability versus surveillance.** "Predictability is a public good" was challenged as a path toward giving an oracle-like model too much power and toward building a surveillance surface: to foresee someone you have to surveil them. The clarification was that the aphorism was only about predictability of whether a person is accountable under a rule, in a notice-and-comment sense. The belief stated was that nobody should be genuinely surprised by an enforcement action.

Two FinCEN examples [unverified: captions render the bureau as "Vincent"] were used to show the intended meaning.

The hosted-wallet rule from the first Trump administration was described as a bad rule that had been forced forward, and as later rescinded. Completion of that rulemaking was said to have stopped because, after 6 January, the administration had other problems. That stop was called the only silver lining of that period.

On mixers, an advisory said current mixers are not compliant, that they could be, that they are money transmitters, and that they could register. Registration is not licensure; FinCEN does not approve registrations, so defensive registration was described as available, with the open question of who would be listed as agent for process. The sector did not evolve and did not embed compliance in systems that are programmable. After years, a Section 311 designation of primary money-laundering concern followed. That was endorsed as a scalpel rather than a sanction: not a prohibition on doing business, but special record-keeping, largely the same identity rules banks already apply to customers. The later rescission of that 311 action was regretted.

The sequence — publish, wait, see that industry does not move, then publish a narrower next step — was called the right kind of regulatory predictability. Predictability of a competitor's whole operating book on a public ledger was expressly distinguished and was not what the phrase meant.

**Handoff inside this slice.** After the keynote, morning breakouts were pointed to: this room continuing on the industrial-design discussion, and another room on security and key management, including for remote participants. A side exchange before the industrial session previewed the later compute discussion: compute may be the first case of a commodity that already exists on-chain, still not fully defined, and is now being regulated off-chain, which raises what happens to the smart contracts already live. The CFTC was described there as having authority over futures and not over the spot market. A QR-linked document was offered as an overview of industrial design and digital assets, with space for questions, ideas, resources, and comments, plus a Discourse section for after the block. The industrial session's agenda, stated at the end of this slice, is local rules, a short walk through the

paper, six questions on critical failures in the Japanese digital-asset industry, and a choice of next paper topics.

### Matters not resolved

Whether responsibility for continuously acting software can be declined at all, or must be redistributed to some layer.

Whether machines can ever hold intent. Personhood for AI was rejected as a present project; designation-as-entity was left open if the point of personhood is to attach consequences or sanctions.

The Clarity Act's categorical indemnity for development and for "decentralization" versus loose, activity-based definitions under IEEPA, the securities and commodities statutes, and the Bank Secrecy Act. The Act was called both failed and still hoped-for by some; passage this year was rejected in the keynote.

Decentralization as a binary legal off-switch versus a multi-axis spectrum. Who draws the line, and whether any line can zero out responsibility, is open.

Network-layer actors as intermediaries even without custody. This was flagged as a controversial view.

Where conserved accountability should sit if not at the software layer: user, application, protocol, or network. Application is the comfortable default; network was preferred next; protocol versus network is unresolved.

"Just code / just plumbing / the chatbot did it / someone else holds the bag" versus Corley-style regulation of functional effects, and versus the Air Canada loss and the California anti-autonomy rule.

Tech-specific regimes versus activity-based regimes. Stablecoin rules arriving before general payments rules was called a future routing problem, and a fight already lost.

Instrument-based versus entity-based regulation. Entity-based was preferred; both exist.

Whether compliance in DeFi is impossible. The mapped stack was the counterexample.

Enforcement reach versus enforcement practicality. Covering every Ethereum validator is easy to write and hard to do. Large mining clusters were called enforceable if the effort is international. Individual developers were called slow to identify. Tornado Cash was distinguished from the ordinary case.

Whether validators should refuse OFAC-listed flows. Marathon did and was attacked for it. No OFAC general license covers the blockchain network layer; ISPs are licensed on an information-transfer rationale that was said not to fit value transfer.

Whether US-dollar stablecoins can safely rely on another jurisdiction matching US rules (the GENIUS Act analogy, with El Salvador as the hypothetical).

AML and currency-transaction reporting as the practical DeFi lever, versus Fourth Amendment objections. The Supreme Court was said to have settled the constitutional question; thresholds remain debatable.

On-and-off-ramp enforcement only, versus also using protocol and network layers and primary-money-laundering / sanctions designations.

Whether undiscoverable identity can support credit and illicit-finance controls in the near term. The answer given was no, with the exact scope of discoverability still open.

Whether institutional self-regulation and a trustworthiness index will do what public rules have not, especially relative to the AI sector.

Predictability as regulatory notice-and-comment, versus predictability as surveillance or as an oracle over market behavior. The keynote accepted the distinction and limited the claim to the first.

Whether the hosted-wallet rule should have existed, and whether rescinding the mixer Section 311 action was a loss. The keynote treated the rule as a mistake and the 311 action as the right tool.

SEC and CFTC authority: a short CFTC non-security spot-market bill versus a broader new code. Federal–state preemption and states acting because a federal framework is not in place remain open.

Social-media child-harm precedent migrating into AI and other technology cases: anticipated, not resolved. OpenAI settlement terms were noted as non-public.

### Disposition of the work

No formal status report was given for a named harmonization workstream or a named decentralization-metrics workstream.

Substance that bears on both:

Decentralization was defined as many intersecting axes, normally not 0 or 1. That is a direct objection to any single decentralization metric or any statutory on/off switch. No measurement method, threshold, or indicator set was adopted.

Harmonization was argued as activity-based consistency across blockchain, software, payments, stablecoins, and agentic commerce, and as international enforcement if accountability is placed on validators. SEC and CFTC were said to already hold most US capital-markets authorities. A preferred minimal statute would have added CFTC non-security spot authority. The Clarity Act was treated as the wrong, technology-specific instrument and as failed. Federal–state fragmentation was described, not resolved.

BGIN's existing mapping of key-management and cybersecurity standards, and the earlier DeFi/OSI stack from the CFTC advisory process, were cited as available technical material regulators can use. Neither was given a version, owner, or next milestone in this session.

The keynote research itself is early. A liability stack and a cross-stack matrix are being built. Findings are initial. The work is to be shared for comment when further along. Slides were promised for presentation. No BGIN document title was given.

### Actions

Each action is written so that it can be tracked without the rest of the record. Where the room named only a person, the action is kept and the name is omitted.

Circulate the accountability research for input once it is further along; use the slides in a later presentation.

Treat foreseeability, participation, proximity, maintenance, and known-open exploit vectors as the working tests while the matrix is unfinished.

Keep network-layer and protocol-layer accountability on the table, and debate an OFAC general license for validators explicitly rather than assuming one exists.

Aim enforcement at the worst actors and at large, identifiable clusters, coordinated internationally, rather than at the easiest defendants.

Preserve AML visibility of large flows between disintermediated and intermediated finance, and sanctions / primary-money-laundering designations for DeFi laundering venues.

Expect institutional agentic-commerce work, including a trustworthiness index, to drive de facto standards; decide what must remain discoverable for credit and illicit-finance controls.

Do not wait for a Clarity Act text. Use existing SEC and CFTC authorities, and treat a short CFTC spot-market grant as the alternative legislative path that was preferred.

When payments regulation is eventually written, resolve the clash with the bespoke payment-stablecoin regime.

Morning split: industrial design of digital assets in this room; security and key management in the other room.

## Coverage

The published programme lists a Day 2 opening at 09:00–09:20 and the keynote The Conservation of Accountability at 09:20–09:50. The recording runs from the opening straight into the keynote, so both published slots are in this one record. The speaker is not named. A few handover lines at the end belong to the industrial-design session and are repeated there. Figures are reported session claims, not independently validated measurements. Technical names are corrected where supported by the recording, chat, or identified primary documentation. Where a name could not be checked against another part of the same recording, it is left unverified rather than guessed. Logistics, introductions, and names of speakers are omitted.

The slice opens with an email chase, audio checks, and thanks. Those are ignored except here. The keynote ran past its slot and was followed by three questions: enforcement practicality at the network layer; levers for DeFi; and predictability versus surveillance. A short logistics block points to the parallel security and key-management room, promises slides and later circulation of the research, and starts the industrial session (QR, agenda, remote introductions). A between-sessions remark on compute futures and CFTC spot-versus-derivatives authority is the preview of the third slice; the argument is developed there, not here. No question was taken on the liability matrix itself beyond those three.

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### Source clarifications and open checks

Bereavement-flight denial conflated in the captions with a healthcare payer's chatbot denials; the airline facts and the healthcare facts are not cleanly separated.

"Trustworthiness index": named as institutional work to come, not as a published document.